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BIMBO – Raise to Buy: Shareholder's meeting approves equity offering

Buy, Target Price: $44 MXN

September 18, 2014

Grupo Bimbo SA CV

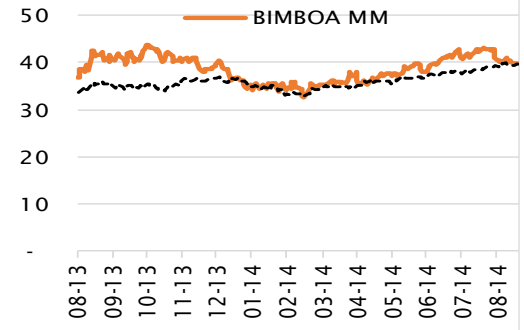
BIMBOA MM

Price (MXN, as of 09/18/2014)	P$39.72
Buy	
Target Price	P$44.00
Stock Price Return	10.8%
Dividend Yield	0.4%
Expected Total Return	11.2%
Market Cap (MXN mn)	186,811
Shares Outstanding (mn)	4,703.2
Free Float	24%
Beta (3 yr, vs MEXBOL)	1.05
Daily Value Traded (avg, USD mn)	6.9

Source: Interacciones and the company

- **Shareholders' meeting approves Equity Offering of 201'250,000** shares to be placed among investors of Mexico, USA and other countries, before December 19th, 2014. Dilution of existing shareholders is 4.1%.
- **BIMBOA share has dropped more than 7%** since the announcement of the offer at the end of August 2014. Lost market value equals P$14,298 million, while the positioning of 201'250,000 shares assuming Thursday's closing price of P$39.72, would be P$8,009 million at an FX of 13.10, representing USD$611 million.
- **Less Leverage.** Last Bimbo's acquisition, Canada Bread cost USD$2,000 million, debt-financed. Net Debt to EBITDA ratio rose to 3.7 times; however, the USD$600 million payment would drop the ratio to 2.8 times.
- By taking into account Bimbo's average debt cost, which accounts for 5.3%, interest savings will climb to P$424 million per year; therefore, P/E will drop from 37.9x on September 18th, 2014 to 37.3x pro-forma with the new stocks, for the same date.
- **Long-term positive effect.** In the last ten years, Bimbo has grown through acquisitions. The latter has increased its income and profits level; besides, Canada Bread Co.'s consolidation benefits have not appeared yet.
- After a 7% drop in the share price in the last three weeks, a net profit raise by interest savings outlook has appeared, coupled with higher cash flow by Canada Bread Co., our target price of P$44 represents a potential yield of 10.6%, so, we raise our recommendation to BUY.

BIMBOA MM vs MEXBOL



Source: BMV

Multiples	2011	2012	2013	2014E	2015E
P/E	39.0x	92.1x	43.7x	30.8x	27.1x
P/BV	4.0x	4.2x	4.1x	3.3x	3.1x
EV/EBITDA	19.0x	19.6x	15.3x	14.1x	12.6x

Estimates	2011	2012	2013	2014E	2015E
Revenues	133,496	173,139	176,763	189,236	199,380
EBITDA	13,569	12,773	16,170	19,275	21,677
EBITDA Margin (%)	10.2%	7.4%	9.1%	10.2%	10.9%
Net Income	4,785	2,029	4,270	6,075	6,906
Net Margin (%)	3.6%	1.2%	2.4%	3.2%	3.5%
EPS	1.02	0.43	0.91	1.29	1.47
BVPS	9.92	9.51	9.70	12.05	12.78

Source: Interacciones Research and the company

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Multiple Valuation

Target PE multiple		25.00x	29.98x	27.00x
EPS 2012f	0.43	10.78	12.93	11.65
EPS 2013	0.91	22.70	27.22	24.51
EPS 2014f	1.29	32.29	38.72	34.87
EPS 2015f	1.47	36.71	**44.02**	39.64

Target EV/EBITDA Multiple		8.50x	9.55x	10.50x
EBITDA 2012	2.72	23.08	25.94	28.52
EBITDA 2013	3.44	29.22	32.83	36.10
EBITDA 2014f	4.10	34.84	39.14	43.03
EBITDA 2015f	4.61	39.18	**44.02**	48.39

Company description

Grupo Bimbo, S.A.B. de C.V. is the market leader on bread-making. Bimbo produces over 10,000 products and offers a portfolio of more than 100 high-prestigious product families, such include: Bimbo, Marinela, Barcel, Ricolino, Oroweat, Arnold, Mrs. Baird's, Thomas', Brownberry, Entenmann's, Pullman, Plus Vita, Nutrella, Sara Lee, Fargo, Lactal, Silueta, Ortiz, Martínez, and Eagle. As well as Canada Bread, which consolidates results, since June, 2014.

Bimbo has 175 plants distributed throughout the world, among them, 41 are located in Mexico, 69 in the United States and Canada Bread has 25 plants.

Bimbo reaches consumers through more than 2.2 million sale points and products with presence in 20 countries worldwide: Argentina, Brazil, Canada, Chile, China, Colombia, Costa Rica, El Salvador, Guatemala, Honduras, Mexico, Nicaragua, Panamá, Paraguay, Peru, Portugal, Spain, United States, Uruguay and Venezuela.

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Additional information available upon request.

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